



of supply or lack of demand?

Kumar: There are three components of demand—investment demand, consumption demand and external demand. Now there is clearly a huge negative growth in the external demand and, therefore, you will see the exports coming down. The second demand, of course, is consumption demand and that has been hurt both by fall in income, exports, services etc, and also by the wealth factor because huge wealth disappeared in the stock market. This consumption demand from the poorer section will remain because that is

goods demand but demand for durables and housing has fallen. The critical factor which has always been volatile in our economy is investment demand because there growth can vary from zero to 20 per cent and that investment demand has shifted from the public to the private sector and that private sector investment demand has taken a big hit because they have all created capacity as they did in the end of 1990 in anticipation of growth in demand which is not coming through.

More Liquidity, Duty Cuts, New Credit Lines. IS THE STIMULUS WORKING?

Debroy: The real issue is that we haven't had structural reforms in four years and nine months; we cannot expect structural reforms at this time. More sops are a threat, not a promise. The good thing is that the threat is unlikely to be carried out as fiscal deficit at the Centre and in the states is around 11 per cent. Thank God for FRBM. Monetary policy: the critical question is not whether we disagree about the liquidity. Yes, liquidity has been infused but it is being sucked out to buy dollars. We should realise that the monetary policy is not dealing with reluctance to lend, and government paper is so attractive.

Ranade: As a stimulus, it is okay but we don't have the fiscal space to do more. We need to focus more on credit delivery and interest rates. Is it working? I don't think so yet but there is also the fact that there will be a lag of six to eight months.

Gokarn: What has happened is that the growth we saw in the last three or four years was actually funded by a variety of sources, of which bank credit was one. You had a lot of foreign money coming in, you had a bunch of channels of liquidity and financing, and what has happened now is that all of those are dried up. So the entire economic activity is being funded only by bank credit and it is not capable of accommodating previous rates of growth. As for the stimulus, I see no problem with what has been done. So it is good, it will work but also I like to qualify that by saying that we are in evolving situation and that is, in Suman's phrase, about known unknowns. The ability to respond to other shocks, new shocks are shrinking. When we talk about structural reforms not being done it is because it is reducing the capacity of the economy to respond to shocks. Take interest rates. The Fed rate is down to zero; what will it do next? Japan is down to zero on the interest rate, what does it do next? So, as the Government runs out of capacity and the system does not respond, the confidence that you need for people to be-



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